

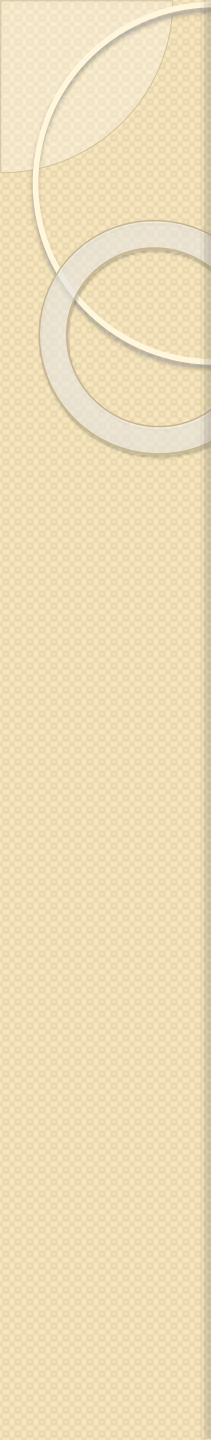


FINANCIAL INSTITUTIONS, MARKETS & SERVICES

BY

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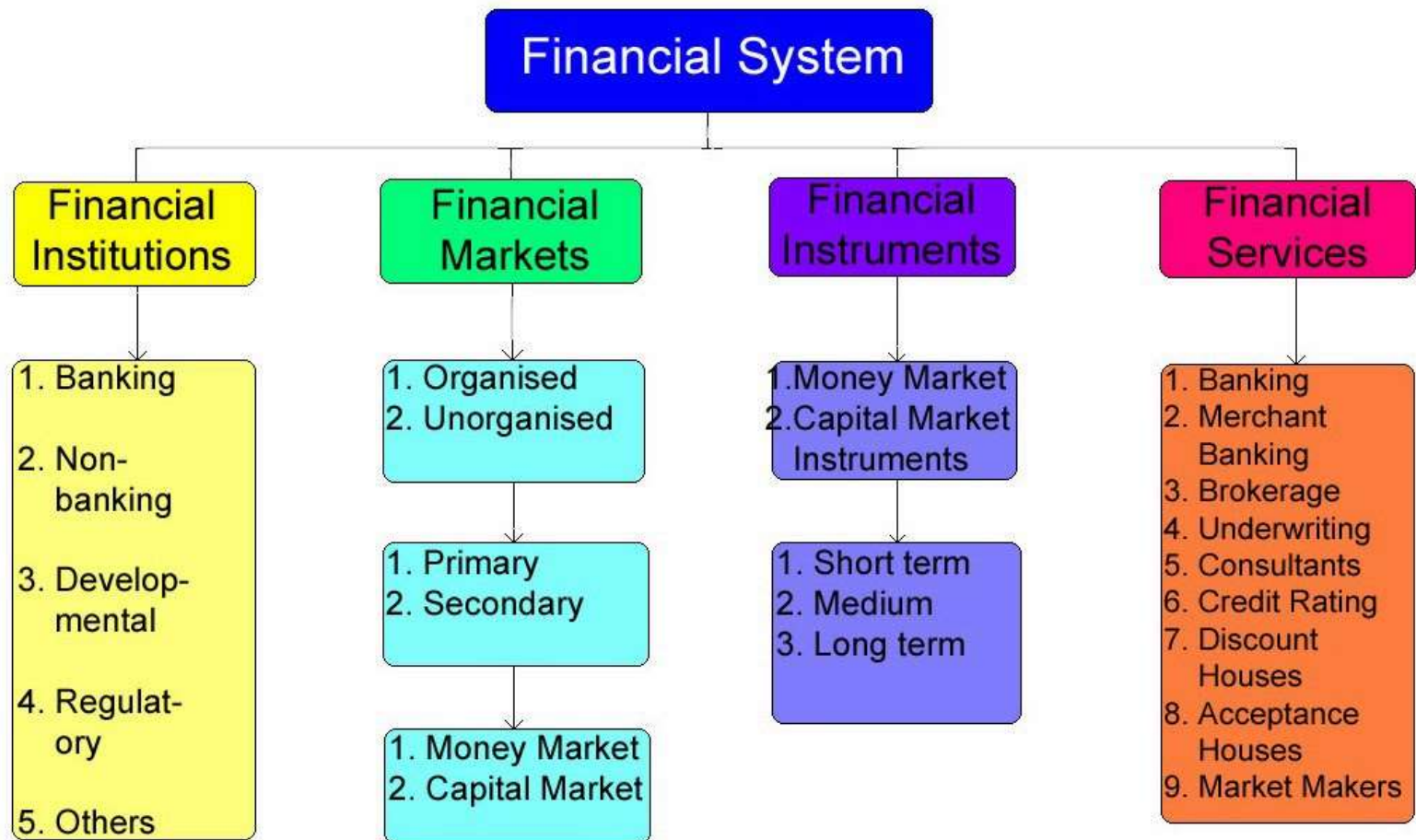
MODULE I

Financial System

A financial system is a complex network of institutions, markets, instruments, and services that facilitate the flow of funds between lenders, investors, and borrowers.

- Financial institutions
 - Regulatory
 - Intermediaries
 - Non-intermediaries
 - Others
 - Financial Markets
 - Financial Instruments
 - Financial Services
-
- The diagram illustrates the relationships between the components of a financial system. It features four main categories on the left: Financial institutions, Financial Markets, Financial Instruments, and Financial Services. From 'Financial institutions', two arrows point to 'Banking' and 'Non-Banking'. From 'Financial Markets', two arrows point to 'Organized' and 'Un Organized'. From 'Financial Instruments', two arrows point to 'Organized' and 'Un Organized'. 'Financial Services' has no outgoing arrows. The terms 'Banking', 'Non-Banking', 'Organized', and 'Un Organized' are positioned on the right side of the diagram.

Financial System in India



Structure Of Financial System

- Debt and Equity Markets
- Primary and Secondary Markets
- Exchange and Over the Counter (OTC)
- Money and Capital Markets



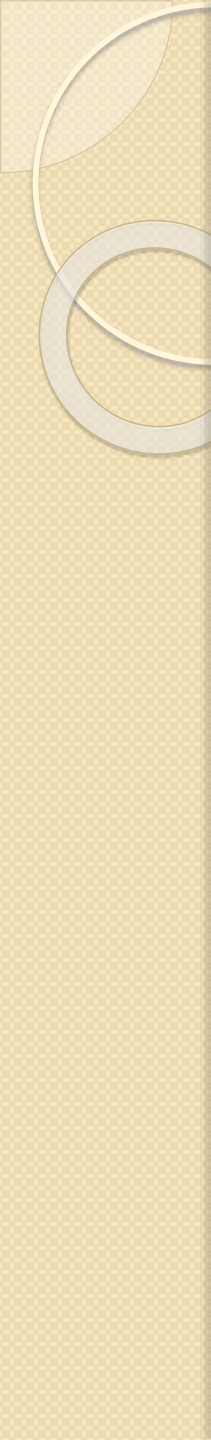
Financial System

[fə-'nan(t)-shəl 'si-stəm]

A set of institutions, such as banks, insurance companies, and stock exchanges, that permit the exchange of funds.

Debt and Equity Markets

- Debt: The issuer of “**title**” (**borrower**) earns initial amount of money and **holder** receives a fixed amount of payments over specified period of time. (maturity of debt title)
- The titles are issued short term (< 1 yr), long term (> 10 yr) and intermediate terms (1yr and 10yr)
- E.g. Bonds , mortgages



Debt and Equity Markets

- The most common equity title is **stock**
- Equity titles don't expire and the maturity is **infinite (long term securities)**
- The equity titles are held primarily to be sold and re-sold

Primary and Secondary markets

- **Primary:** Financial instruments are newly issued by borrowers
- **Secondary:** Financial instruments already in existence are traded among buyers
 - **Titles** are traded in central location called stock exchanges
 - Titles are traded in different locations : **OTC**

Money and Capital Markets

- A set of institutions such as banks, insurance companies, and stock exchanges that permit exchange of funds
- **Money:** Only short term debt titles are traded
- **Capital:** Only long term debt and equity instruments are traded.
 - E.g. Corporate stocks, bonds, short run equivalent commercial papers

Functions of Financial markets

- **Liquidity**

- The existence of financial markets owner of asset to buy and resell the assets. Results in increase in liquidity. converting them into cash without dramatic price changes.

- **Efficiency**

- Decrease in Information and transaction cost increase in efficiency. By providing a structured, centralized, or interconnected platform,

Functions of Financial Markets

- **Mobilization of Savings:** They redirect household and institutional savings into productive investments, encouraging wiser money usage.
- **Facilitating Capital Formation:** They serve as a vital link, allowing businesses and governments to raise funds for expansion or projects.
- **Price Discovery:** Market mechanisms, driven by demand and supply, determine fair prices for financial assets such as stocks and bonds.

Functions of Financial Markets

- **Risk Management:** Through derivatives and other financial instruments, they help businesses and investors hedge against uncertainties like fluctuations in currency or prices.
- **Efficient Allocation of Resources:** Capital is directed to its most productive use, enhancing economic productivity and growth

Importance in Economic System

- An economic system is the foundational structure a society uses to organize the production, distribution, and consumption of goods and services.
 - **What to produce, how to produce it, and for whom to produce.**
- **Efficient Resource Allocation:** It determines how resources (land, labor, capital) are utilized, ensuring they are used to meet the needs of the population rather than wasted.
- **Production Decisions:** It helps determine the types and quantities of goods and services produced to maximize consumer satisfaction or social welfare.
- **Distribution of Goods:** It defines the mechanism (market prices, government distribution, or custom) for sharing produced wealth and goods among the community.

Importance in Economic System

- **Economic Stability:** A strong system aims to maintain stability by managing inflation, reducing unemployment, and managing economic fluctuations (like recessions or booms).
- **Economic Growth:** It encourages innovation, investment, and technological advancements to improve the standard of living over time.
- **Facilitates Exchange:** It provides the rules and institutions (markets, banks, laws) necessary for trade to occur

Types of Economic systems

- **Market Economy:** Decisions are decentralized; driven by supply, demand, and profit motives (e.g., USA).
- **Command / Planned Economy** Decisions are centralized; government controls production and allocation (e.g., North Korea).
- **Mixed Economy:** Combines elements of both market efficiency and government intervention for social welfare (e.g., India, UK).

Characteristics of Financial Markets

- **Liquidity Provision**: Enables easy buying and selling of assets (e.g., stocks, bonds) without significant price impact.
- **Price Discovery**: Efficiently determines the value of securities based on the forces of demand and supply.
- **High Transaction Volumes & Speed**:
 - Involves massive, rapid movements of financial resources.
- **Transparency**: Offers access to information regarding market prices, trading volumes, and company data.

Characteristics of Financial Markets

- **Regulation & Oversight**: Subject to strict rules to ensure fair, orderly, and transparent trading.
- **Diversity of Instruments**: Offers a wide array of instruments, including equity, debt, derivatives, and commodities.
- **Risk Management**: Provides mechanisms to shift or hedge risks through derivatives.
- **Global Integration**: Operates across borders, making them sensitive to worldwide economic, geopolitical conditions.
- **Market Intermediaries**: Relies on intermediaries like banks, brokers, and institutional investors to facilitate trades

Indicators of Financial Development of a Country

- **Finance Ratio**

- $\frac{\text{Total issue claims (primary + secondary)}}{\text{National income}}$

- **Financial inter-relation ratio**

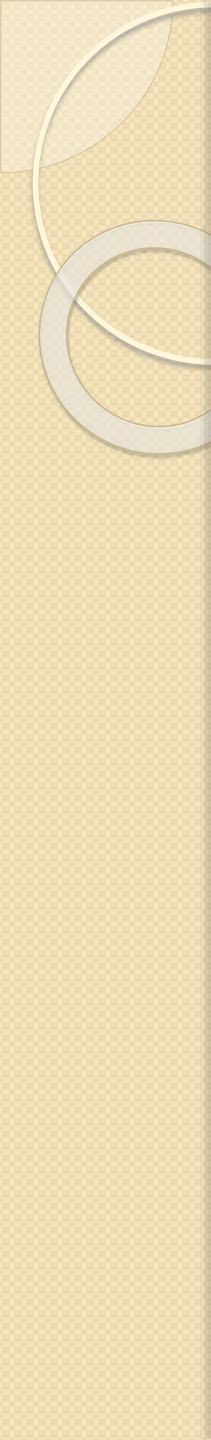
- $\frac{\text{Financial assets}}{\text{Physical (REAL) Assets}}$

- **New Issue Ratio**

- $\frac{\text{Primary issue}}{\text{Physical capital formation (real asset)}}$

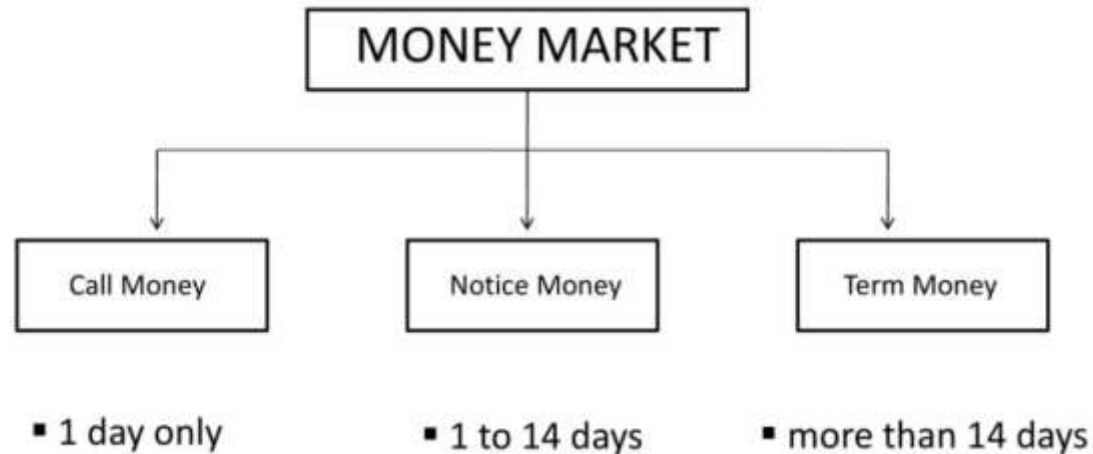
- **Intermediation ratio (fund mobilizer)**

- $\frac{\text{Secondary issues}}{\text{Primary issues}}$



MODULE 2

Money Market Classification



Call Money

['kɒl 'mɑːnɪ]

A short-term loan that is payable on demand with a maturity of one to 14 days.



Differences between Call & Notice Money

Call Money	Notice Money
 Borrow or Lend Overnight	 Borrow or Lend Up to 14 Days
 Meet Immediate Liquidity Needs	 Plan Short-Term Funding
 Highly Volatile Rates	 Slightly More Stable Rates

Money Market Role

- **Balancing Cash Mismatches:** Bridges the gap between cash receipts and cash expenditures for firms and banks.
- **Providing Low-Cost Funding:** Facilitates low-interest rate financing for commercial and industrial development.
- **Determining Short-Term Interest Rates:** Serves as a benchmark for measuring the economic and financial health of the economy.
- **Supporting Monetary Stability:** Helps maintain stability in the financial system by providing liquidity when needed, ensuring compliance with regulations.

Common money market instruments

- T-Bills also called Treasury bills
 - Issued by government auctions, 91 day, 182 day, and 364 day maturities
- Commercial Paper
 - Unsecured loans /notes issued by corporate firms for 7 days to 1 yr
- Certificates of deposit.
 - Short term deposits with banks
- Repurchase agreement
 - Short term collateralized loans
- Call money / Notice money
 - Interbank short term loans

Call Money Features

- **Duration:** "Call" money is for 1 day, while "Notice" money spans 2 to 14 days.
- **Participants:** Banks, Primary Dealers (PDs), and financial institutions, with some acting only as lenders (e.g., LIC, mutual funds).
- **Risk:** High, due to its unsecured nature and short-term, callable, or "due on demand" structure.
- **Volatility:** Rates are highly sensitive to market liquidity, policy changes by the central bank (RBI), and demand/supply mismatches, often fluctuating seasonally.

Call Money Features

- **Regulation:** In India, this market is regulated by the RBI, with dealings on the NDS-CALL platform and reporting requirements.
- **Purpose:** Enables banks to borrow for short durations to meet daily liquidity requirements, often used to bridge gaps between CRR requirement
- **CRR** – Cash Reserve Ratio

Treasury Bills Market



Issue

Primary market
using RBI auctions

Acquisition

- Competitive bidding
- Non competitive bidding

The Yield on Treasury Bill

$$Y = [(F - P) / P] \times [365 / D] \times 100$$

Y = Percentage of return

F = Face value of treasury bill

P = Purchase price of security at discount

D = Term of bill

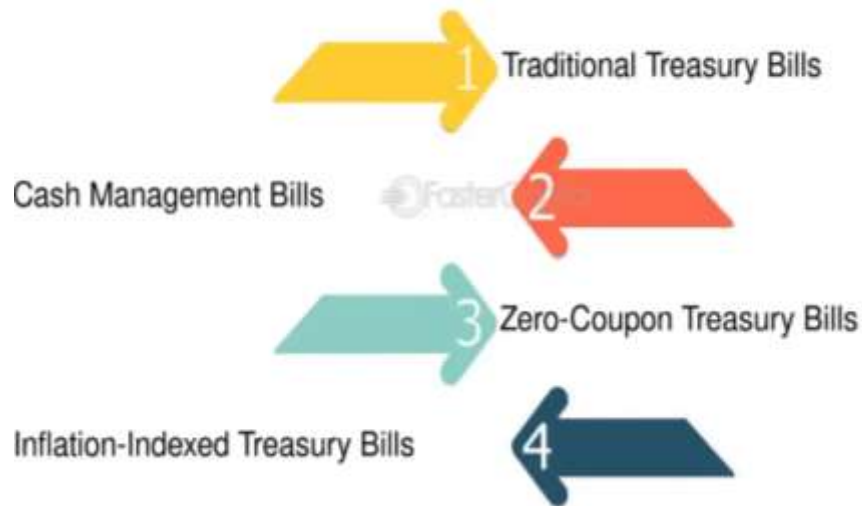
Differences between Bond and Treasury Bill

Feature	Bond	Treasury Bill
Definition	Long-term debt instruments issued by corporations or governments with fixed interest payments and a specified maturity date.	Short-term debt instrument issued by the government with maturities of up to one year and issued at a discount to face value.
Maturity	Typically longer than one year, often ranging from 2 to 30 years.	Up to one year (91 days, 182 days, 364 days).
Interest Payment	Pays periodic interest (coupon) over its term.	No periodic interest; issued at a discount and redeemed at face value.

Differences between Bond and Treasury Bill

Risk	Higher risk depending on issuer's creditworthiness.	Lower risk, as they are backed by the government.
Liquidity	Moderate to high, but depends on the market.	High liquidity, easily tradable in the money market.
Investment Purpose	Suitable for long-term investment and income generation.	Suitable for short-term investment and liquidity management.

Different Types of Treasury Bills



The Market Of Government Securities in India

Treasury bills



Treasury bills or T-bills, which are money market instruments, are short term debt instruments issued by the Government of India and are presently issued in three tenors, namely, 91 day, 182 day and 364 day. Treasury bills are zero coupon securities and pay no interest. They are issued at a discount and redeemed at the face value at maturity.

**91 Day
Bills**

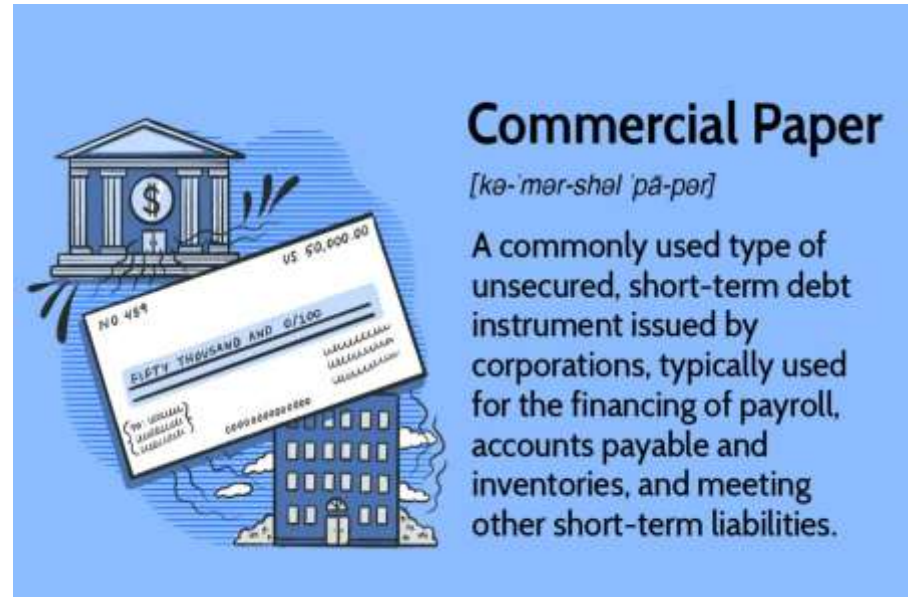
**182 Day
Bills**

**364 Day
Bills**

For example, a 91 day Treasury bill of Rs.100/- (face value) may be issued at say Rs. 98.20, that is, at a discount of say, Rs.1.80 and would be redeemed at the face value of Rs.100/-. The return to the investors is the difference between the maturity value or the face value (that is Rs.100).

Commercial Paper Market

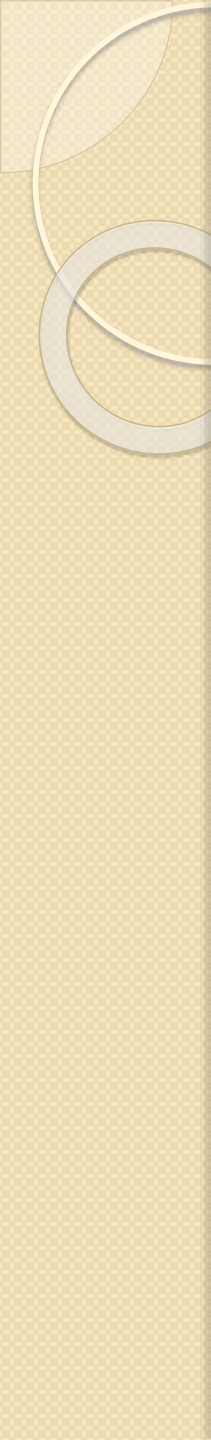
- The commercial paper (CP) market belongs to money market class.
- They are ***Short-term, unsecured, negotiable promissory notes*** issued by highly rated corporations, banks, and financial institutions.
- Matures within 1–270 days.
- Offers companies lower-cost financing for working capital at higher yields than treasury.



Commercial Paper

[kə-'mər-shəl 'pā-pər]

A commonly used type of unsecured, short-term debt instrument issued by corporations, typically used for the financing of payroll, accounts payable and inventories, and meeting other short-term liabilities.



Benefits of Commercial Paper

- **High Liquidity:** Active secondary markets exist for trading.
- **Lower Costs:** Generally offers cheaper financing than bank loans.
- **Short-Term Needs:** Ideal for meeting immediate obligations like payroll or inventory

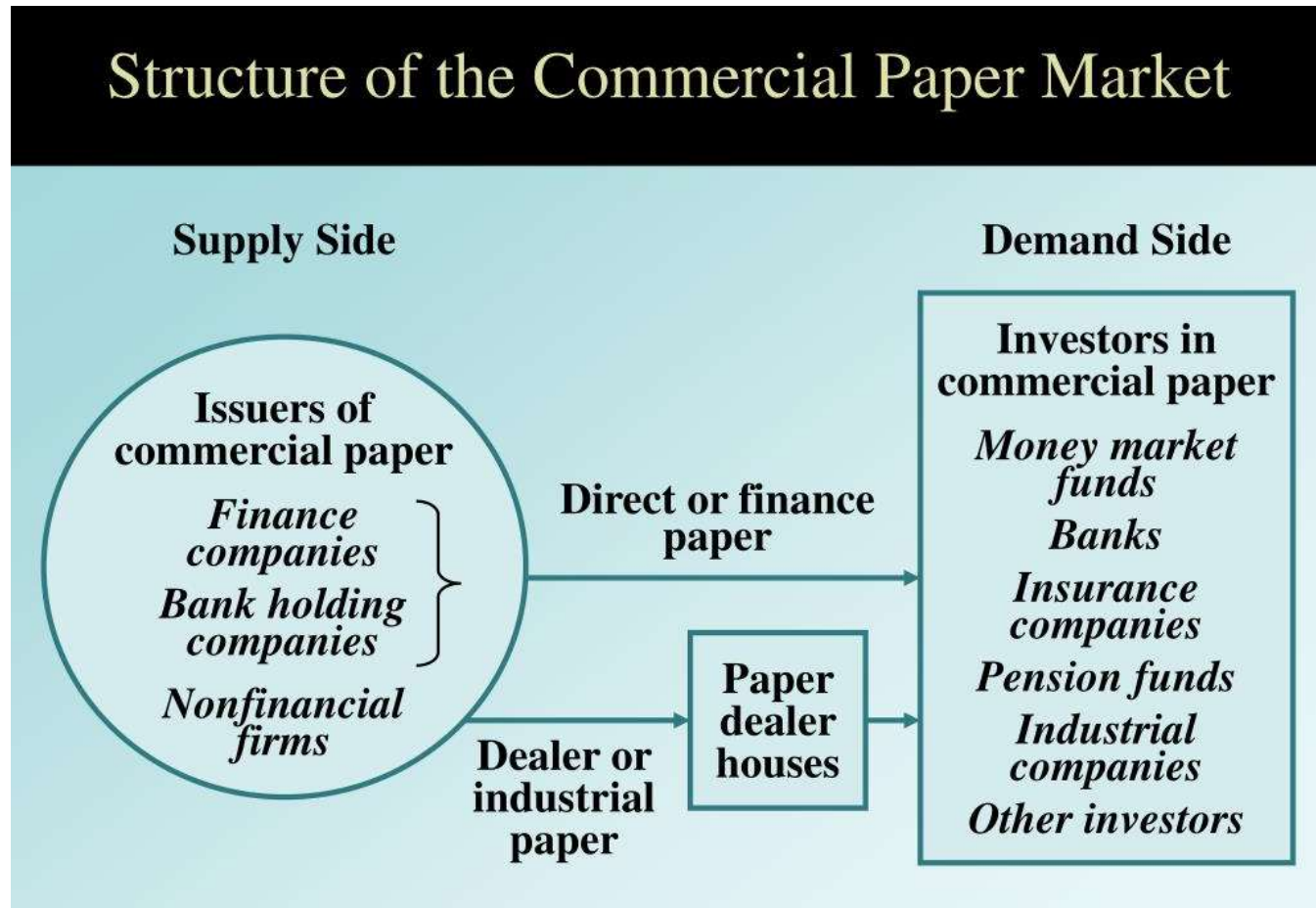
Commercial Paper Market

- **Issuers:** Large corporations with strong credit ratings (e.g., P-2 or higher by rating agencies), *primary dealers and financial institutions*.
- **Structure:** Issued at a discount to face value and repaid at par, offering investors a return equal to the difference.
- **Regulation:** In India, the market is regulated by the RBI requiring mandatory credit ratings.
- **Investors:** Primarily institutional investors (mutual funds, banks, corporations) due to high minimum denominations (e.g., Rs. 5 lakh in India).
- **Risk:** As it is unsecured, the paper is backed solely by the issuer's *creditworthiness*.
- **Market Growth:** Driven by financial innovation, increased underwriting competition, and asset backed.

Types of Commercial Paper

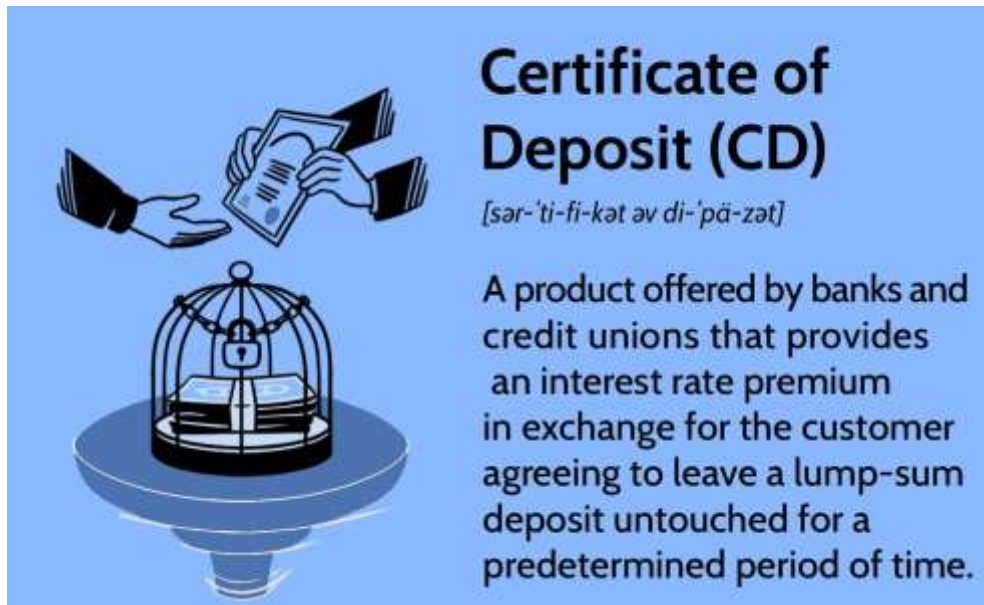


Structure of Commercial Paper



Structure: Issued at a *discount to face value* and *repaid at par*, offering investors a return equal to the difference.

Certificates of Deposit



- It is a **type of savings account** that pays a fixed interest rate on your deposit for an agreed-upon period
- CDs come in a variety of terms, generally ranging from **three months** to **10 yrs**

Certificate of Deposit

Advantages

- Best rates may be higher than savings / money market accounts
- Guaranteed, predictable rate of return is less risky than volatile stocks and bonds
- They are insured if opened with credit union / regulated commercial bank
- Can help avoid income overspending

Disadvantages

- Penalties for withdrawing funds early , check withdrawal policy
- Typically earns less than stocks and bonds over time
- Fixed rate could cost you if interest rates rise during the term
- Many CDs offer very low rates

RBI Regulation on money market

- **Market Participants & Limits:**
 - **Banks:** Borrowings must not exceed 100% of capital funds on a fortnightly average, or 125% on any day. Lending is limited to 25–50% of capital funds.
 - **Primary Dealers (PDs):** Allowed to borrow on average up to 200% of their net owned funds (NOF) and lend up to 25% of NOF.
 - **Non-bank participation:** Non-bank institutions are not permitted in the call/notice money market.
- **Instrument Regulations:**
 - **Commercial Paper (CP) & Certificates of Deposit (CD):** Minimum maturity and denomination guidelines are set for issuing entities.
 - **NCDs:** Non-Convertible Debentures (NCDs) with maturity up to one year are treated similarly to commercial papers regarding defaults and trading.

RBI Regulation on money market

- **Trading & Reporting:**

- All call/notice money market deals must be reported within 15 minutes of the deal, with platforms available for transactions.
- **Market Hours:**
 - Generally 9:30 AM to 3:30 PM.
 - After hours trading: 3.30 PM to 5.00 PM

- **Monetary Policy Tools:**

- **Liquidity Management:** Managed through Cash Reserve Ratio, Statutory Liquidity Ratio and Open Market Operations (OMOs).